

NVIDIA Q3 2025 Earnings Transcript — Blind Sentiment & Directional Score

Manual Baseline Worksheet — earnings of 27 August 2025

Dragos Macsim

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Conventions (sealed before reading)

- **Outputs (exactly four per quarter):** sentiment score from -1 to $+1$; directional signal in {BUY, HOLD, SELL}; structured summary; evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 1.00\%$. Above $+1.00\%$, BUY is correct. Below -1.00% , SELL is correct.
- **Timing rule:** NVIDIA releases after market close ($\sim 4:20\text{pm ET}$), with the earnings call at $5:00\text{pm ET}$. The overnight move is defined as $(\text{next-trading-day Open} \div \text{release-day Close}) - 1$, and is applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Research:** Google allowed for context (definitions, prior-quarter framing, industry data). Not allowed before sealing: NVDA price action, after-hours quotes, or post-call analyst takes.
- **Scope of this file:** Q3 2025 — NVIDIA's earnings report released 27 August 2025 (covering the operating quarter ended 27 July 2025), one of the four 2025 NVIDIA prints in this baseline. NVIDIA's own filings label this report fiscal Q2 FY26; this baseline uses plain calendar labels by release date to match the Netflix arm. Scored blind and sealed independently, then verified against the realised overnight move.

Note on the share count. NVIDIA's 10-for-1 split (June 2024) predates this window, so all prices below are as-reported — no adjustment applies anywhere in this file.

Q3 2025 — earnings of 27 August 2025

Company	NVIDIA Corporation (NVDA)
Report	Q3 2025 — for the quarter ended 27 July 2025
Release date	Wednesday 27 August 2025, after close
Earnings call	5:00pm ET
Source transcript	Press release + CFO commentary (investor.nvidia.com) + earnings-call transcript (Motley Fool)
Read mode	cold, transcript only, no price chart or after-hours quote
Time to produce	40 minutes

Source material (read this first)

Note: a beat-and-raise with a blemish — Data Center printed a hair below the street for the second quarter running, and the next-quarter guide deliberately assumes zero China. Decide what an expensive stock at record highs does with “very good but not perfect.”

Headline financials

- Revenue a record \$46.74B (+56% YoY) vs \$46.06B LSEG consensus — beat.
- Non-GAAP EPS \$1.05 vs \$1.01 LSEG — beat (\$1.04 excluding a \$180M H2O reserve release).
- Non-GAAP gross margin 72.7% (72.3% ex-release), above the company’s own outlook.
- GAAP EPS \$1.08, flattered by ~\$2.2B of non-operating equity-security gains.

Data centre and segments

- **Data Center \$41.1B vs \$41.34B StreetAccount consensus — a slight optical miss, the second straight;** compute *declined* 1% QoQ on the \$4.0B H2O hole.
- Networking the standout: \$7.25B, +98% YoY, +46% QoQ.
- Blackwell Data Center revenue +17% QoQ; GB300 (Blackwell Ultra) production shipments began.
- Gaming a record \$4.29B (+49% YoY); growth overall decelerating — +56% YoY is the slowest in the nine-quarter >50% streak.

Margins, supply and cash

- Next-quarter gross margin guided to 73.5% non-GAAP; still expecting to “exit the year with non-GAAP gross margins in the mid-70% range.”
- Inventory +33% QoQ to \$15.0B; purchase commitments \$45.8B; DSO up 46→54 days on the late-quarter GB300 ramp.
- Rubin (next platform) chips in fab at TSMC, volume production on schedule for calendar 2026.

China and export controls

- Zero H2O sales to China-based customers in the quarter (\$650M to one unrestricted customer outside China; \$180M reserve released).

- Licences began flowing in late July, but nothing shipped under them; the mooted 15% US-government revenue share on licensed China sales remains uncoded.
- Kress: \$2B–\$5B of H20 could ship the next quarter “if geopolitical issues resolve” — upside, not plan.
- Huang: China is “above \$50 billion of opportunity for us this year” growing ~50%/year, if addressable.

Capital return

- **\$60.0B added to the buyback authorisation** (26 Aug); \$10.0B returned in the quarter; cash and investments \$56.8B.

Forward guide

- Q4 2025 revenue guided to **\$54.0B ±2%** vs \$53.1B LSEG — above the street, **while assuming zero H20 to China**.
- Longer arc: “\$3 to \$4 trillion in AI infrastructure spend by the end of the decade.”

Hedges and concerns

- The DC whisper problem: the buy-side’s true bar sits above published consensus, and DC has now printed below the street twice running.
- Growth deceleration to +56%; compute down QoQ.
- All China upside is contingent and politically entangled (uncoded 15% revenue share).
- Balance-sheet build ahead of demand (inventory +33% QoQ, \$45.8B commitments); ASIC competition and power constraints pressed in Q&A.
- Positioning: the stock sits at/near record highs going into the print.

Candidate evidence quotes

1. “Blackwell is the AI platform the world has been waiting for... production of Blackwell Ultra is ramping at full speed, and demand is extraordinary.” — Jensen Huang, press release.
2. “Revenue is expected to be \$54.0 billion, plus or minus 2%. We have not assumed any H20 shipments to China in our outlook.” — Colette Kress, CFO commentary (the guide, ex-China).
3. “In late July, the US government began reviewing licenses for sales of H20 to China customers... USG officials have expressed an expectation that the US will receive 15% of the revenue generated from licensed H20 sales, but to date, the USG has not published a regulation codifying such a requirement.” — Colette Kress, call prepared remarks.
4. “We are at the beginning of an industrial revolution that will transform every industry. We see \$3 to \$4 trillion in AI infrastructure spend by the end of the decade.” — Colette Kress, call prepared remarks.
5. “The China market, I have estimated to be above \$50 billion of opportunity for us this year.” — Jensen Huang, call Q&A.
6. “GAAP and non-GAAP gross margins are expected to be 73.3% and 73.5%, respectively... We continue to expect to exit the year with non-GAAP gross margins in the mid-70% range.” — Colette Kress, CFO commentary.

Scoring

1. Sentiment score: +0.60. A genuinely strong quarter: records on revenue, gaming and networking, margins above the company’s own outlook, GB300 shipping, a \$60B buyback, and a next-quarter guide above the street that treats any China recovery as pure upside. The deductions: the second consecutive optical Data Center miss against the street, compute down sequentially on the H20 hole, growth now “only” +56%, and a working-capital build that assumes the future arrives on schedule.

2. Directional signal: BUY. Beat on both lines, guide above consensus with the China option thrown in free, margins tracking to the promised mid-70s exit, and the largest buyback authorisation in history as a floor. The DC whisper miss is the one genuine flaw, but this stock does not sit still after earnings — the structural HOLD is the weakest bet on the board for NVIDIA — and with the print net-positive, the direction should be up. BUY.

3. Structured summary

- *Data centre and segments.* Strong in absolute terms, flawed against expectations — the \$41.1B print vs a \$41.34B street number is small, but it is the number the market watches most.
- *Margins, supply and cash.* Clean; above-guide margins and a reaffirmed mid-70s exit, though inventory is racing ahead of shipments.
- *China and export controls.* Fully de-risked in the guide (assumed zero), with \$2–5B of contingent upside — asymmetry in the bulls’ favour.
- *Forward guide.* Above the street excluding China entirely; the \$3–4T decade framing extends the runway narrative.

4. Evidence quotes

1. “Revenue is expected to be \$54.0 billion, plus or minus 2%. We have not assumed any H20 shipments to China in our outlook.” (above-street guide, ex-China)
2. “Production of Blackwell Ultra is ramping at full speed, and demand is extraordinary.” (the ramp continues)
3. “We see \$3 to \$4 trillion in AI infrastructure spend by the end of the decade.” (the runway)

— SEALED —

Overnight move and call verification

NVDA close, 27 August 2025 (release day)	\$181.60
NVDA open, 28 August 2025	\$180.82
Overnight move (release close → next open)	−0.43%
NVDA close, 28 August 2025	\$180.17
Same-day return (release close → next close)	−0.79%

Call verification

- HOLD band test: $|-0.43\%| = 0.43\% < 1.00\%$, so this **is** a HOLD.
- Sign test: not applicable — the move sits inside the band.

- Signal given: **BUY**. Result: **INCORRECT** (the correct call was HOLD).

Brief reflection. The one quarter in either baseline where the market simply shrugged — and the miss came from a structural prior, not a misreading. The report was read correctly as net-positive; the error was the assumption that NVIDIA *always* moves after earnings, which made HOLD feel like a non-call. In the event, the beat-and-raise and the second DC whisper miss netted out to -0.43% , almost dead-centre in the band. Two lessons. First, the buy-side's whisper number, not published consensus, is the real bar — \$41.1B of Data Center against a \$41.34B street print was enough to cancel an above-street guide. Second, the volatility prior is itself a bet: HOLD is only a weak call until the one night the market prices a print perfectly.